vigorously. Though Russia voted for the UN Security Council Resolution 1172 of June 1998, criticising India for its nuclear tests, it opposed sanctions against India and revived a 1988 agreement for the construction of nuclear power plants in Kudankulam in the south Indian state of Tamil Nadu. The construction of two units (1000 MW each) commenced in 2002. The decision of the Nuclear Suppliers' Group (NSG) in 2008 to allow international civil nuclear cooperation with India opened the door to further Russian participation in India's nuclear power sector. The Kudankulam agreements include credit on attractive terms, covering most Russian equipment and services for the projects. The supply of fuel for the life cycle of the power plants is lucrative for Russia and valuable for India, given the paucity of indigenous uranium resources.

Trade and investment exchanges were less robust. Bilateral trade languished at under USD 10 billion annually in the first decade of the 2000s. It moved up to about USD 12 billion in 2012 but went into a tailspin thereafter, dipping to well below USD 10 billion, as Russia's economic recession, the volatility of the rouble, and Western sanctions took their toll. The only major investment was that by the Indian state-owned company Oil and Natural Gas Corporation (ONGC) in oil fields in Siberia, estimated at about USD 5 billion.

After the robust expansion of India–Russia engagement from 2000 to 2008, there was a discernible dip in the tempo from 2009 to 2014. A change of guard in the Kremlin (2008) coincided with a change in the political complexion of the Indian government after national elections in 2009. The pace of India's defence acquisitions from Russia slowed during this period. While domestic factors contributed to this, Russia saw the hand of the United States, which was offering alternate weapons platforms. Among other irritants was a Russian assessment that the Indian government was tardy in taking action on the disruption of construction